

Chapter 8

INTRODUCTION TO ECONOMICS

Q. 1. Can you tell? (Textbook page 64)

Rewrite the budget given on page 64 of the textbook as per your preference/priorities. Read it carefully and answer the following questions in words/sentences :

Sr. No.	Items	Estimated Expenditure
1.	Daily food	6,000
2.	Buy two sets of uniforms	2,000
3.	School stationery	500
4.	Medical expenditure	450
5.	Recreation	350
6.	Mobile bill	500
7.	Vegetable, fruits, etc.	1000
8.	Public transport expense	2000
9.	Electricity bill	1200
10.	Tourism	-
11.	Bank installments	3000
Total expenditure		17,000

Income : 20,000 **Expenditure** : 17,000 **Saving** : 3,000

(1) Which items of expenditure did you change?

Ans. Food, uniform, school stationery, medical expenditure, fruits and vegetables and bank instalment has not been changed.

(2) Why did you not change expenditure on these items?

Ans. No change was made as, food, electricity, shelter, education and health are the basic

needs.

(3) For which loan is the instalment paid every month?

Ans. While purchasing house, a loan was taken from the bank and the same is being paid by EMI.

(4) Expenditure on which items was curtailed?

Ans. Expenditure on recreation, mobile, public transport and electricity was curtailed because these are items of comfort and luxury.

(5) Why should expenditure be less than income?

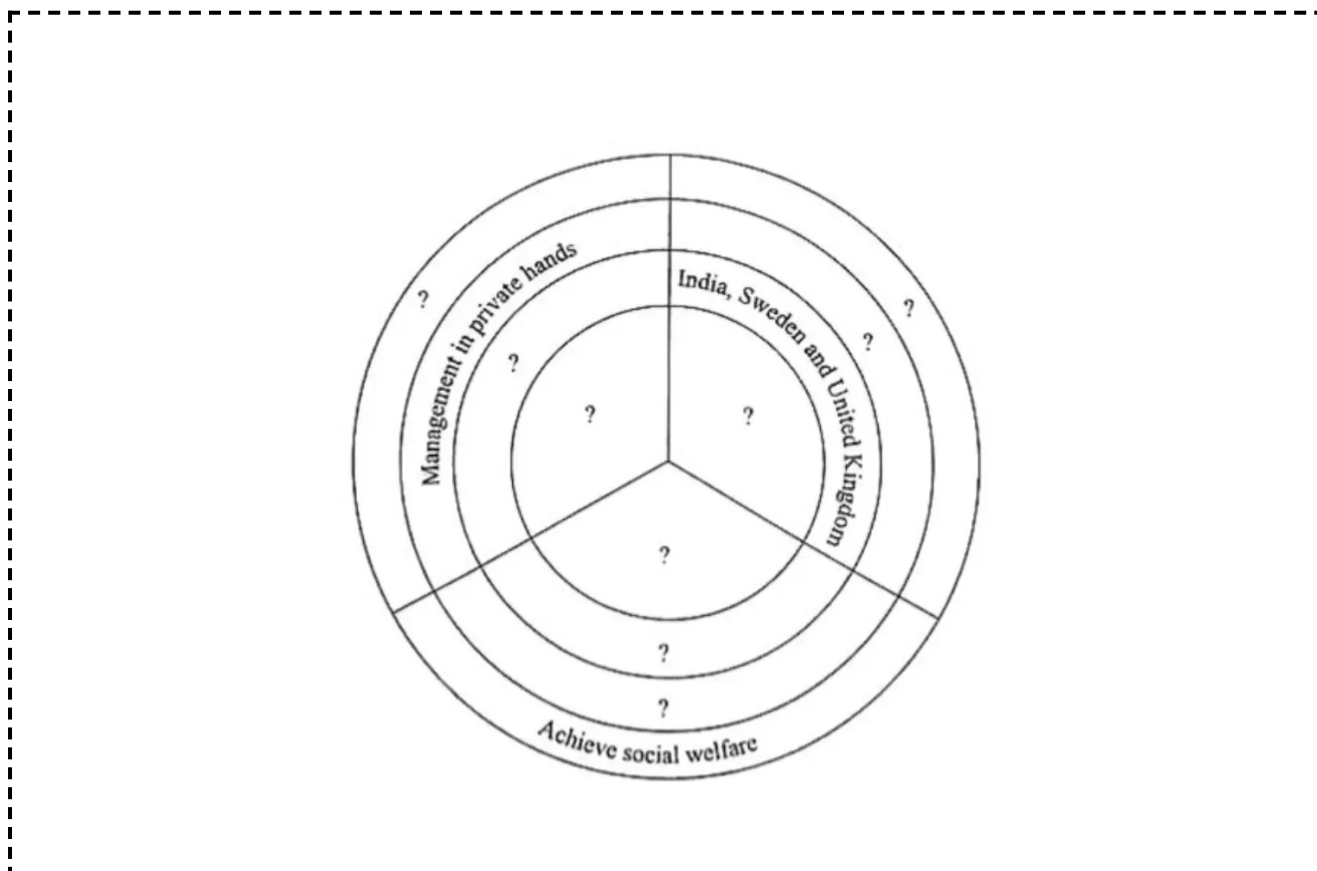
Ans. A person becomes debt-ridden when the expenditure is in excess of income.

Repayment of loans becomes difficult as the income is limited. It results in increasing burden of loan and interest thereon.

(6) Why should one make saving a habit?

Ans. Saving is a healthy habit. It is necessary to make provisions for any emergency that may arise in future.

Q. 2. Explain the types of economies by filling correct information in the place of question given in the following circle and complete the following chart :



Capital Economy	Socialist economy	Mixed economy
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(2) Germany, Japan, USA	(2) China and Russia	(2) India, Sweden, the United Kingdom (UK)
(3) Management in the private hands	(3) Management in the hands of government	(3) Co-existence of private and public sectors
(4) Earn maximum profit	(4) Achieve social welfare	(4) A balance between profit and social services

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